higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

NEW VENTURE CREATION
NQF LEVEL 4

14 MARCH 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1
1.1.1 True
1.1.2 True
1.1.3 False
1.1.4 False
1.1.5 True
1.1.6 True
1.1.7 True
1.1.8 True
1.1.9 False
1.1.10 True

(10 × 1) (10)

1.2
1.2.1 Opportunities
1.2.2 Fixed
1.2.3 Pre-operating costs
1.2.4 Financial viability
1.2.5 Social responsibility
1.2.6 Broad-based black economic empowerment **or** BBE
1.2.7 Unemployment insurance fund
1.2.8 Tendering
1.2.9 Fixed costs
1.2.10 Revenue

(10 × 1) (10)
[20]

TOTAL SECTION A: 20

SECTION B

QUESTION 2

2.1
2.1.1 Risk-taker

2.1.2 Able to identify an idea and make a business out of it

2.1.3 Passionate about sneakers

(Any relevant 3 × 2) (6)

2.2
- People washing their own shoes
- Other businesses opening with the same idea (2 × 2) (4)

2.3 Networking means building✓ a business through ongoing✓ communication✓ such as meeting and talking with people.✓ (Any relevant answer) (4)

2.4 Bongo and Phila's friends had their shoes washed and then recommended them to others. (2)

2.5
- Who is the target market for Tekkie Wash?
- In which geographical area will Tekkie Wash advertise?
- What form of advertising will work (newspapers, social media, etc.)?
- Will it pay to advertise (get more money from sales rather than what it costs to advertise)? (Any relevant 3 × 2) (6)

2.6 Equity financing (2)

2.7 Tekkie Wash must:

- Keep accurate accounting records.
- Register as a tax payer.
- Provide correct and accurate information to SARS.
- Submit your returns and payments on time.
- Produce relevant documents when required by SARS.
- Notify SARS about any changes in address, etc.
- Issue tax invoices.
- Pay their employees' tax to SARS.
- Issue IRP5 certificates to employees at the end of the tax year.
- Include VAT in prices, advertisements and quotes. (Any relevant 3 × 2) (6)

[30]

QUESTION 3

3.1
- Rental (partial as home based)
- Materials used
- Salary for partners
- Stationery
- Telephone expenses
- Water and electricity (partial as home based)
- Advertising (Any relevant 6 × 1) (6)

3.2
- Fast: Short-term loans can be obtained much faster than long-term financing.
- Flexible: Small companies often have seasonal variations in cash flow and need access to capital over that period. Overdraft protection is a form of short-term finance where a bank agrees to pay a company's cheques, electronic debits and cash withdrawals to a certain limit.
- Business expansion: If you do not generate enough revenue at the present time to cover your expansion costs, short-term loans can bridge the gap. A short-term loan can cover the investment in the hopes that the new opportunity generates plenty of revenue to repay it.
- Loan flexibility: You have a number of options to obtain short-term financing, depending on the nature of your business. Many small business operators look to a home equity loan for start-up costs or business development. The advantage with this approach is that you normally get a relatively low interest rate because you secure the loan with your property as collateral.
- Fast repayment: Unlike long-term loans (such as the one you may use to acquire a building), short-term loans have a faster payback timeline. Short-term financing normally ranges from three months to a year, though some have slightly longer terms. When you pay back the money in such short order, your monthly payments are usually higher.
- Credit rating implication: It only makes sense to use short-term financing if you think the revenue gains resulting directly from the loan are worth it.

(Any 4 × 2) (8)

3.3
- Own money
- Family and friends
- Grants
- Commercial banks
- Private equity and venture capital funders
- Development finance funding institutions

(Any other relevant answer 6 × 1) (6)

3.4
- Small Enterprise Development Agency
- Small Enterprise Finance Agency
- Technology Innovation Agency
- Department of Trade and Industry
- Centre of Entrepreneurship
- National Empowerment Fund
- National Youth Development Agency
- Umsobomvu Youth Fund
- Small Business Development Fund
- Small Business Growth Fund
- Industrial Development Corporation
- KFW Development Bank
- Land Bank South Africa

(Any relevant 8 ×1) (8)

3.5 The explanation must relate to branding/ marketing/ advertising/ positive company reputation/ company's success.

(Any relevant answer) (2)
[30]

QUESTION 4

4.1 A workplace code of conduct establishes acceptable standards of behaviour✓✓ for all employees.✓ It serves as an internal communication tool✓ as well as a device to protect the company✓ in cases where it must terminate an employee for cause.✓ (Any relevant answer) (6)

4.2 The code of conduct is a formal document given to new employees along with the company policy manual. New employees normally sign a document indicating they have received, read and understood the code of conduct. (2)

4.3
- Employee dress codes
- Attendance policies
- Health and safety standards
- Use of company property
- Appropriate workplace behaviour (Any relevant 4 × 2) (8)

4.4
- Step-by-step disciplinary process✓✓ (helps employees as well as their supervisors who enforce the code)
- Minor violations which may include an initial verbal warning✓✓
- Formally documented warnings✓✓
- Indicate terminable offences such as stealing or violence✓✓

(Any relevant 4 × 2) (8)

4.5
- Cannot lie about a product/service or its benefits
- Cannot break down a competitors product/service
- Cannot make promises the business cannot adhere to
- Must be truthful and transparent about the product/service

(Any relevant 3 × 2) (6)
[30]

QUESTION 5

5.1
- Employment Equity Act
- Basic Conditions of Employment Act
- Labour Relations Act
- Occupational Health and Safety Act
- Freedom of Association as per the constitution (5 × 2) (10)

5.2
- Their business could perform poorly
- Business failure
- They could be fined
- They could face other legal consequences (Any relevant 4 × 2) (8)

5.3
- Avoidance:✓ they can avoid the risk entirely✓
- Reduction:✓ they can change operations✓
- Control:✓ they can control the damages after the risk✓
- Transfer:✓they can transfer the risk to another party, such as insurance company (Any 3 × 2) (6)

5.4 5.4.1 Legal liability means being bound by a contract to do something that may be enforced by a court.

5.4.2 Contractual liability is the liability from making an agreement with another party to carry out a specific action.

5.4.3 Negligence is causing a danger to others by your actions or inactions (acting or failing to act in a certain way).

(3 × 2) (6)
[30]

QUESTION 6

6.1
- Wages
- Cellphone
- Water and electricity
- Materials used to clean tekkies
- Advertising (Any relevant 4 × 2) (8)

6.2 Price to clean a pair of tekkies: R50✓
Variable cost: R5✓
Contribution per product: R45✓

Fixed costs: R7 515 per month

Breakeven = $\frac{\text{fixed costs}}{\text{contribution}} = \frac{\text{R7 515}✓}{\text{R45}✓}$ = 167 pairs of tekkies✓✓ (8)

6.3 Number of tekkies per month
Number of days worked

= 167✓
21✓

7,95 therefore 8 pairs per day✓✓ (4)

6.4
- Lower competitor prices✓ which will force them to reduce their price✓
- Higher competitor prices✓ to charge more and therefore get more profit✓
- Consumer expectations✓ – what the consumer expects for the money he/she is spending✓
- Consumer demand in winter is maybe higher than in summer✓ as it is cold and people wear closed shoes✓
- Legislation✓ will probably not affect the business directly✓
- Changes in interest rates✓ can affect what needs to be repaid on a loan✓

(Any 5 × 2) (10)
[30]

QUESTION 7

7.1
- Obtain finance.✓ The partners must obtain the necessary finance to start the new business (Tekkie Wash).✓
- Purchase capital equipment.✓ The partners must purchase equipment they may need to use in the business.
- Purchase materials and labour.✓ The partners must purchase the materials which will be used to clean the tekkies and hire employees to wash the tekkies.✓
- Offer the service.✓ The partners must offer the service to their customers, i.e. clean the customer's shoes.✓
- Produce the revenue.✓ The partners must offer the service to the customers to produce an income for the business.✓
- Establish a profitable business.✓ The partners must ensure that they price their services correctly to make a profit.✓

(Any relevant 6 × 2) (12)

7.2
- Absa Bank Ltd
- African Bank Ltd
- Capitec Bank Ltd
- First National Bank Ltd
- Nedbank Group Ltd
- Standard Bank of SA Ltd

(Any relevant 6 × 1) (6)

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7.3
- Not having collateral to secure the loan
- Not having a positive credit rating as small unregistered business
- No bank records of income (most transactions are cash)
- Both not having a set job and payslips, etc. (Any relevant 3 × 2) (6)

7.4
- Not enough time to clean all the tekkies received within the time required by the customer
- Weather not warm enough for the tekkies to dry as quickly as was anticipated
- Bad stains on the tekkies which will take longer to remove than what was quoted (Any relevant 3 × 2) (6)

[30]

TOTAL SECTION B: 180
GRAND TOTAL : 200

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